International Small Companies Equity

Third Quarter 2026 Report

HARDING LOEVNER

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Performance

Total Return (%) Periods Ended September 30, 2026

	3 Months	YTD	1 Year	3 Years	5 Years	10 Years	Since Inception
HL International Small Companies Equity (Gross)	3.97	10.05	8.23	10.53	1.57	7.75	7.90
HL International Small Companies Equity (Net)	3.75	9.34	7.30	9.52	0.63	6.68	6.77
MSCI All Country World ex US Small Cap Index	2.19	11.78	15.15	18.42	7.25	8.96	6.34

Performance returns are of the composite. The composite performance returns shown are preliminary. Returns are annualized for periods greater than one year. International Small Companies Equity composite inception date: December 31, 2006. MSCI All Country World ex US Small Cap Index, the benchmark index, is shown gross of withholding taxes.

Past performance does not guarantee future results. Invested capital is at risk of loss. Please read the above performance in conjunction with the disclosures on the last page of this report. All performance and data shown are in US dollar terms, unless otherwise noted.

What's on Our Minds

Headlines have been dominated by the shocking rise in bond yields in developed markets, led by the surge in long-term US Treasury yields. They have soared well beyond 5%, ignoring the feeble attempt of Secretary Bessent to "guide" ten-year yields down through jawboning and modest re-purchases. Sticky inflation, robust employment, and sustained capital spending—especially on AI infrastructure—have spooked bond investors, who were restless due to yawning budget deficits that face little fiscal discipline in any developed economy.

Stock markets have barely shuddered in the face of this, focusing instead on current corporate profitability, especially those involved in the AI build-out. Investors also remain optimistic about AI's potential to create new avenues for growth and reduce costs, supporting the case for sustained investment in the foreseeable future. Even the continued stand-off in the Persian Gulf, causing shortages of diesel fuel and fertilizer, along with crude oil prices over $100, has not put a halt to the optimism reflected in equity markets.

That divergence between dismal bond markets and buoyant stock markets forms the backdrop for one of the more intriguing valuation scenarios we've seen in many years. The optimism about sustained profitability for most companies, ranging from the most cyclical or most leveraged to the highest quality, has compressed differences in valuations to some of the narrowest we've seen in international markets in almost 30 years.

The decade after the financial crisis, with its scarcity of growth while economic actors reduced their debt burdens and regulators forced banks to rebuild stronger capital bases, saw investors willing to pay large valuation premiums for companies that either were the most financially sound, produced sustained profitability, or could demonstrate organic growth. Weaker companies and those that struggled to grow traded at increasingly larger discounts to the fastest growing and most profitable, exacerbated by discount rates that trended toward zero. Over the last five years, the situation has reversed. Investors in today's buoyant markets neither demand large premiums for growth or quality, nor big discounts for leverage or a volatile pattern of profits. As Empirical Research phrased it, there is currently "little fear, and no loathing" exhibited in stock valuation differentials outside the US.

If history is a guide, those conditions make it more likely that future equity returns will come from sustained profit growth than from further re-pricing of depressed stocks of weaker, more variable companies. And, of course, that also implies that the headwinds faced by quality- or growth-oriented investors over

the past five years are fading and should cease to hamstring returns from such companies—assuming that the high quality identified persists, and the growth forecasts are fulfilled. While there is limited performance history for the MSCI ACWI ex US Small Cap Quality Index, which only launched last year, we're intrigued by the proportion of time over the past 25 years that the broader MSCI ACWI ex US Quality Index outperformed the market in the subsequent two-year period when valuation spreads were less than one half a standard deviation above neutral: Quality outperformed 77% of the time, with an average annual outperformance of 260 basis points.

One way that companies achieve sustained profit growth is by offering a differentiated product in a market supported by favorable structural growth trends. Medistim and Asahi Intecc, for example, each makes specialized equipment for cardiovascular procedures, an area of growing demand due to aging populations and the rising prevalence of heart disease. Japan-based Asahi Intecc is the leading manufacturer of medical guide wires, which are used to navigate through an artery blockage so that a catheter can then be threaded over the wire. The company's sales and profits have grown even as large health-care markets such as the US and China have faced challenges in recent years that have pressured hospital spending and medical-device pricing. One reason is that its products are considered best-in-class, providing better control for surgeons and improved patient safety. That makes it difficult to substitute a different product for Asahi Intecc's and gives the company considerable pricing power.

Medistim operates in a nearby niche. During coronary artery bypass procedures, a more invasive intervention, surgeons must verify that sufficient blood is flowing through grafted vessels. In the past there were limited ways to do this, and the blood-flow readings, because they were often done manually, weren't very reliable. Medistim's equipment provides a more objective measurement of graft performance by using soundwave time shifts and high-resolution imaging. For years, the Norwegian company relied on third-party distributors, but more recently, management has invested in its own sales and distribution capabilities to better educate physicians about the clinical benefits

Market Snapshot

- Energy was the strongest sector, as Middle East supply disruptions lifted oil prices; the Materials sector, which has a large index weight, also benefited from rising commodities prices, resilient demand, and tight supply.
- Financials, particularly banks, were boosted by higher interest rates.
- Real Estate was the biggest laggard as rising bond yields and financing costs pressured valuations.
- Returns within Information Technology (IT) diverged sharply: Software and services rose, while semiconductors and other hardware makers fell as sentiment toward AI-related investments cooled.
- Japan and Europe ex EMU gained, helped in part by the strength of Financials stocks and shares of commodities-related businesses in those markets.
- The Middle East was the weakest region, as the ongoing conflict between the US and Iran dragged down sectors such as Utilities and Real Estate amid growing risks to infrastructure and economic growth expectations.

Index Performance (USD %)

MSCI ACWI ex US Small Cap Index

Sector	3Q 2026	Trailing 12 Months
Communication Services	1.5	-7.6
Consumer Discretionary	0.3	-4.3
Consumer Staples	2.2	-1.5
Energy	10.0	34.0
Financials	7.4	20.8
Health Care	3.0	-4.9
Industrials	1.2	16.7
Information Technology	-0.8	58.5
Materials	7.8	27.7
Real Estate	-5.0	-7.2
Utilities	-1.5	13.3

Region	3Q 2026	Trailing 12 Months
Canada	3.0	22.5
Emerging Markets	0.4	15.5
Europe EMU	-0.8	8.6
Europe ex EMU	4.3	9.4
Japan	4.8	23.7
Middle East	-1.1	35.4
Pacific ex Japan	1.6	2.0
MSCI ACWI ex US Small Cap Index	2.2	15.2

Source: FactSet, MSCI Inc. Data as of September 30, 2026.

of its technology. Since making that shift, growth has significantly picked up in places such as the US, the largest health-care market in the world.

Another way to achieve sustained profit growth is through intellectual property that can be monetized again and again, the way Consumer Discretionary businesses Sanrio and Games Workshop Group have been able to do with their brands. Sanrio, a new purchase during the quarter, is the Japanese company behind Hello Kitty as well as hundreds of other anime characters. While Hello Kitty generates most of its revenue, Sanrio's future profit growth depends in part on how well it can leverage those other characters. In Japan, the company has been successfully diversifying sales by featuring the characters Cinnamoroll and Kuromi more prominently in its official YouTube series, which makes consumers more inclined to buy related merchandise. A useful comparison is Nintendo's Mario franchise, which over time also cultivated fan bases for other characters such as Luigi, Yoshi, and Bowser, creating additional opportunities to monetize its intellectual properties through games, films, toys, costumes, and more.

Sanrio's growth opportunity also extends far beyond Japan. According to the Association of Japanese Animations, anime sales outside of Japan have exceeded those in Japan over the past few years. Sanrio is attempting to capitalize on that growing overseas interest with the release of a new Hello Kitty animated film through Warner Bros. Pictures in July 2028 that will help introduce its other characters to global audiences and provide additional merchandising opportunities. As the company pursues those growth plans it benefits from significant operating leverage: Much of the investment required to develop its intellectual property and fan communities has already been made, meaning each additional dollar of revenue from TV shows, movies, video games, or merchandise is highly profitable.

Another way to achieve sustained profit growth is through intellectual property that can be monetized again and again, the way Consumer Discretionary businesses Sanrio and Games Workshop Group have been able to do with their brands.

The dynamics are similar for UK-based Games Workshop, which manufactures tabletop fantasy games. These aren't the typical kind of board game that you just open and play. Warhammer, its main franchise, is primarily bought by hobbyists who spend hours assembling and painting the miniature wargame figurines. This taps into what some call the "Ikea Effect," where consumers value a product more if they help build it. But what ultimately keeps customers purchasing Games Workshop's games, books, miniatures, and other extensions of its intellectual property is their attachment to the characters, story lines, and highly engaged community of players. Like Sanrio, Games Workshop has room to grow through new content, products, and geographic expansion. Both companies also appear to be benefiting from a form of generational compounding that has contributed to the enduring success of other consumer-entertainment companies such as Disney and Nintendo: Adults who enjoyed these brands as kids introduce them to their own children, helping to expand the customer base while reinforcing existing fan communities.

Portfolio in Focus

Japan has been the epicenter of the portfolio's style headwinds in recent years. That has left many quality-growth Japanese businesses trading at considerably more attractive valuations than in the recent past (as discussed in last quarter's letter). Recently, one of our portfolio managers traveled to the country to identify companies whose competitive advantages and growth prospects remain underappreciated by the market. Insights gleaned on that trip led to a number of purchases during the quarter as well as the decision to exit one holding.

Milbon, a new holding, sells professional hair-care products to salons, primarily in Japan. However, it has demonstrated an ability to innovate and expand internationally. Sales outside Japan rose 17% year over year in the first half of 2026, led by the US, China, and South Korea. The strength of those markets helped offset slower growth in its local business, with overall company sales climbing 8%. Growth in Japan also seems poised to improve as the company rolls out new products under its Suwae brand.

The portfolio also purchased Sanrio, discussed above, and added to its holding in Japan Elevator Service, the country's leading independent provider of elevator maintenance. Japan Elevator Service competes mainly with large elevator manufacturers, which generate a portion of their revenue from servicing their installed equipment. But those companies are prioritizing opportunities in faster-growing markets outside Japan, while Japan Elevator is focused on taking share in maintenance and upgrades in its home market. There is a need to modernize many of the country's elevators due to the age of the installed equipment, which in many cases has surpassed 20 years and is approaching the end of its useful life. Japan Elevator offers customers the ability to choose relatively straightforward upgrades at lower prices than the more feature-heavy upgrade packages sold by elevator manufacturers. Winning these projects can also strengthen its subsequent maintenance relationship with customers.

There is a need to modernize many of the country's elevators due to the age of the installed equipment, which in many cases has surpassed 20 years and is approaching the end of its useful life.

The portfolio exited Ariake, a producer of natural seasonings used by food manufacturers and restaurants, because the company's long-term sales objectives looked increasingly difficult to achieve. Growth in China has already fallen short of expectations. The Japanese market, which accounts for 70% of the company's sales and profits, also appears to offer less upside than previously anticipated. In Japan, ramen shops are struggling to raise menu prices as budget-conscious consumers, squeezed

Portfolio Positioning (% Weight)

Sector	HL	Index	Relative Weight
Info Technology	22.9	14.5	
Comm Services	8.8	3.6	
Health Care	10.5	6.2	
Cons Staples	8.3	4.9	
Cash	2.6	–	
Industrials	21.5	20.5	
Utilities	2.7	2.7	
Financials	10.0	12.1	
Energy	1.7	4.2	
Cons Discretionary	4.9	10.1	
Materials	6.1	13.2	
Real Estate	0.0	8.0	

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Region	HL	Index	Relative Weight
Europe EMU	22.6	10.6	
Europe ex EMU	26.8	16.7	
Frontier Markets	6.1	–	
Cash	2.6	–	
Middle East	1.7	2.7	
Japan	18.9	23.6	
Canada	2.2	7.9	
Pacific ex Japan	1.5	9.3	
Emerging Markets	17.6	29.2	

-12 -6 0 6 12

"HL": International Small Companies Equity model portfolio. "Index": MSCI All Country World ex US Small Cap Index. "Frontier Markets": Includes countries with less-developed markets outside the index.

Sector and region allocations are supplemental information only and complement the fully compliant International Small Companies Equity composite GIPS Presentation. Source: Harding Loevner International Small Companies Equity model, FactSet, MSCI Inc. MSCI Inc. and S&P do not make any express or implied warranties or representations and shall have no liability whatsoever with respect to any GICS data contained herein. Data as of September 30, 2026.

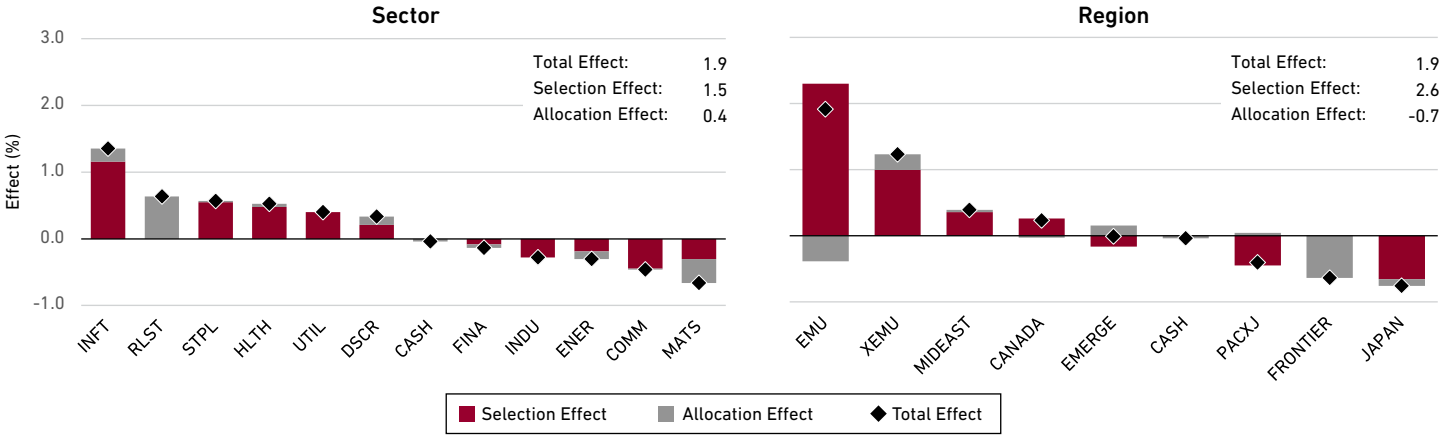
by higher energy and import costs exacerbated by the weak yen, resist paying more for a bowl of ramen. This puts pressure on restaurants to reduce ingredient costs, including Ariake's premium broth concentrates, limiting its ability to grow through higher volumes or by increasing the portion of its revenue that comes from higher-priced products.

Performance and Attribution

The International Small Companies Equity composite increased nearly 4.0% gross of fees in the third quarter, ahead of the 2.2% gain in the MSCI All Country World ex US Small Cap Index. Year to date, the composite rose 10.1% gross of fees, versus 11.8% for the index.

Third Quarter 2026 Performance Attribution

International Small Companies Equity Composite vs. MSCI ACWI ex US Small Cap Index



"FRONTIER": Includes countries with less-developed markets outside the index.

Source: Harding Loevner International Small Companies Equity composite, FactSet, MSCI Inc. Data as of September 30, 2026. The total effect shown here may differ from the variance of the composite performance and benchmark performance shown on the first page of this report due to the way in which FactSet calculates performance attribution. This information is supplemental to the composite GIPS Presentation.

Portfolio Attribution by Sector

The portfolio benefited from strong holdings, particularly in IT, amid a rebound in software and services stocks. Non-investment in falling Real Estate stocks also helped.

Top contributors to relative performance:

- In **IT**, software and services providers reported a flurry of positive news: Alten returned to organic growth with improved margins, Reply's growth accelerated, and Kinaxis raised its outlook for subscription revenue. Their results helped lift the cloud hanging over the industry just as the market's excitement for semiconductors and other IT-equipment stocks waned.
- Rohto Pharmaceutical led strong returns in **Consumer Staples**. The Japanese maker of eye- and skin-care products beat expectations for sales and operating profit in its latest quarter due to continued strength in Asia and a recovery in domestic skin-care demand.
- In **Health Care**, Tecan's profitability for the first half of the year beat expectations as a new strategic initiative delivered cost savings. Haier Biomedical, a supplier of medical cold-storage equipment, reported sharply improved profitability in its latest quarter and a 50% increase in its order backlog.
- Although **Industrials** underperformed, Clarkson was a particularly strong contributor after the shipbroker reported record results for the first half of the year and raised its full-year outlook to significantly above consensus expectations. The company has benefited from geopolitical conflicts that have lengthened shipping routes and kept charter rates elevated.

Top detractors from relative performance:

- In the semiconductor segment of **IT**, Silergy, a Taiwanese manufacturer of power-management integrated circuits for electronics, data centers, and other applications, fell as its margins missed estimates due to higher wafer and packaging costs.
- The portfolio was underweight **Materials**, a sector that rallied in the quarter, while our stock selection within the sector proved unfavorable. Shares of Hoa Phat Group tumbled amid lower steel prices, seasonal weakness in construction during Vietnam's rainy season, and distributor destocking.
- In **Communication Services**, Mexican cable operator Megacable reported a quarter-over-quarter decline in residential revenue per user while higher costs compressed margins. Lithuania-based Baltic Classifieds, an operator of listings portals, projected slower-than-expected growth for remainder of the year as a strong real estate market leads to shorter listing periods, which reduces monthly ads.
- **Industrials** holding Hanbell Precise Machinery detracted amid weak Chinese industrial activity and an uneven recovery in demand for compressors and vacuum pumps.

Relative Returns (%)

Third Quarter 2026

Largest Contributors	Sector	Avg. Weight HL	Avg. Weight Index	Effect
Alten	INFT	1.3	<0.1	0.53
Clarkson	INDU	3.0	<0.1	0.52
Tecan	HLTH	1.5	0.1	0.51
Haier Biomedical	HLTH	1.4	–	0.45
Aspeed	INFT	2.0	–	0.42

Largest Detractors	Sector	Avg. Weight HL	Avg. Weight Index	Effect
Silergy	INFT	2.1	0.1	-0.93
Hanbell Precise Machinery	INDU	1.2	–	-0.58
ASM Pacific Technology	INFT	0.9	0.1	-0.42
Santen Pharmaceutical	HLTH	1.8	0.1	-0.39
Hoa Phat Group	MATS	2.0	–	-0.32

Trailing 12 Months

Largest Contributors	Sector	Avg. Weight HL	Avg. Weight Index	Effect
Aspeed	INFT	1.8	<0.1	2.32
Senior	INDU	2.0	<0.1	1.14
Tecan	HLTH	1.2	<0.1	0.76
Clarkson	INDU	2.8	<0.1	0.58
Diploma	INDU	1.9	0.2	0.47

Largest Detractors	Sector	Avg. Weight HL	Avg. Weight Index	Effect
Shift	INFT	1.2	<0.1	-1.09
Baltic Classifieds	COMM	1.7	<0.1	-1.07
Scout24	COMM	1.4	<0.1	-0.97
Hoa Phat Group	MATS	2.2	–	-0.77
Max Financial	FINA	1.8	0.1	-0.61

"HL": International Small Companies Equity composite. "Index": MSCI All Country World ex US Small Cap Index.

Portfolio Attribution by Region

Stock selection was strongest across Europe, which more than offset significant weakness in Japan and Frontier Markets.

Top contributors to relative performance:

- Outperformance in the European Monetary Union (**EMU**) was led by French holdings Alten and Rubis. Rubis, an energy company specializing in distribution and renewable-electric production, reported better-than-expected earnings for the first half of the year due to strong demand and effective supply-chain management, which led it to raise its EBITDA projection for the year. The company has little direct exposure to the Strait of Hormuz but has benefited from the uplift in commodity prices and volumes as buyers looked to shore up inventories amid disruption.
- In the **Europe ex EMU** region, Bossard, a Swiss supplier of industrial fastening and assembly solutions, reported demand recovery in fast-growing end markets, including rail, semiconductors, and aerospace.
- Returns were also strong in Sweden. CellaVision, which sells equipment that automates microscopic blood analysis, returned to organic growth in its fiscal second quarter after a disappointing period of customer inventory adjustments. Hexpol, a manufacturer of advanced materials, beat earnings expectations, citing a ramp-up of customer projects, market-share gains as rivals struggled with supply disruption, and price increases.

Top detractors from relative performance:

- **Japan** was broadly weak, particularly Santen Pharmaceutical, which specializes in ophthalmological products. The company had to cut prices in its local market to comply with the Japanese government's regular sweeping drug-price revisions. Its largest product, Eylea, for retinal diseases, has also faced biosimilar competition, leading to weak revenue growth.
- In **Frontier Markets**, Panamanian airline operator Copa Holdings was squeezed by higher jet-fuel costs.
- ASMPT, a Singapore-based supplier of back-end semiconductor assembly equipment, accounted for most of the weakness in **Pacific ex Japan**. Concerns emerged about delayed adoption of next-generation high-bandwidth-memory packaging and ASMPT's valuation following a strong run, despite the company reporting robust results and orders.

Past performance does not guarantee future results. The portfolio is actively managed therefore holdings identified above do not represent all of the securities held in the portfolio and holdings may not be current. It should not be assumed that investment in the securities identified has been or will be profitable. Contributors and Detractors are shown as supplemental information only and complement the fully compliant International Small Companies Equity composite GIPS Presentation. The following information is available upon request: (1) information describing the methodology of the contribution data in the tables above; and (2) a list showing the weight and relative contribution of all holdings during the quarter and the trailing 12 months. In the tables above, "weight" is the average percentage weight of the holding during the period, and "contribution" is the contribution to overall relative performance over the period. Performance attribution and performance of contributors and detractors is gross of fees and expenses. Contributors and detractors exclude cash and securities in the composite not held in the model portfolio. Quarterly data is not annualized.

Portfolio Holdings

Communication Services	Market	End Wt. (%)
Airtel Africa Telecom services	UK	1.2
Autotrader Online classifieds platform	UK	0.5
Baltic Classifieds Online classifieds portal operator	UK	1.6
Cheil Worldwide Marketing and advertising services	South Korea	0.6
Ipsos Market-research services	France	0.7
Megacable Cable operator	Mexico	1.0
Paradox Interactive Video game publisher	Sweden	0.5
Scout24 Real estate information services	Germany	1.1
TIME dotCom Berhad Telecom services	Malaysia	0.8
YouGov Market research and data analytics services	UK	0.8
Consumer Discretionary		
Allegro E-commerce retailer	Poland	0.8
Curves Fitness club operator	Japan	0.7
Games Workshop Group Game designer and mfr.	UK	1.0
Sanrio Character IP and licensing	Japan	1.7
Shuanghuan Driveline Mechanical equipment mfr.	China	0.7
Consumer Staples		
Cranswick Foods manufacturer	UK	2.0
KWS SAAT Agricultural products producer	Germany	1.1
Lotus Bakeries Confectionery snack manufacturer	Belgium	1.8
Milbon Hair care products manufacturer	Japan	1.2
Rohto Pharmaceutical Health and cons. products mfr.	Japan	2.1
Energy		
Dialog Group Berhad Petrochemical services	Malaysia	0.5
Vista Energy Oil and gas producer	Argentina	1.3
Financials		
Bankinter Commercial bank	Spain	0.7
Equity Group Diversified banking	Kenya	0.7
GMO Payment Gateway Payment processing services	Japan	1.5
Landbobank Commercial bank	Denmark	1.6
Linea Directa Insurance provider	Spain	1.0
Max Financial Financial services & insurance provider	India	1.4
Sony Financial Insurance and financial services	Japan	1.4
XP Broker dealer and financial services	Brazil	1.6
Health Care		
Asahi Intecc Medical device manufacturer	Japan	1.7
Bumrungrad Hospital Hospital operator	Thailand	0.7
CellaVision Medical device manufacturer	Sweden	1.0
Haier Biomedical Biomedical storage manufacturer	China	1.7
M3 Medical information services	Japan	1.3
Medistim Medical device supplier	Norway	0.9

Health Care	Market	End Wt. (%)
Santen Pharmaceutical Pharma manufacturer	Japan	1.6
Tecan Life science products and services	Switzerland	1.6
Industrials		
Belimo HVAC manufacturer	Switzerland	1.3
Bossard Industrial components supplier	Switzerland	1.5
Brenntag Chemical distribution services	Germany	0.6
Burckhardt Compression Compressor manufacturer	Switzerland	1.1
Carel HVAC and refrigeration solutions	Italy	1.0
Clarkson Shipping services	UK	3.1
Copa Holdings Airline operator	Panama	1.4
Diploma Specialized technical services	UK	2.2
Ferreycorp Industrial equipment distributor	Peru	1.0
Grafton Construction products distributor	UK	0.8
Haitian International Injection-molding machines mfr.	China	0.5
Hanbell Precise Machinery Compressor mfr.	China	1.0
Harmonic Drive Systems Robotic component mfr.	Japan	0.6
Hongfa Power relay manufacturer	China	1.0
Japan Elevator Service Elevator maintenance and svcs.	Japan	0.7
Mader Heavy equipment services	Australia	0.6
MISUMI Group Machinery-parts supplier	Japan	1.8
Spirax Group Industrial components manufacturer	UK	1.4
Information Technology		
Alten Technology consultant and engineer	France	1.8
ASM Pacific Technology Semiconductor eqpt. mfr.	Hong Kong	0.9
Aspeed Electronic chip designer and manufacturer	Taiwan	1.9
ATOSS Software HR software provider	Germany	1.1
Bechtle IT services and IT products reseller	Germany	1.3
Besi Semiconductor equipment mfr.	Netherlands	0.5
Bochu Laser control system manufacturer	China	0.6
Dynavox Medical equipment manufacturer	Sweden	0.4
FPT IT services provider	Vietnam	0.8
Kinaxis Supply chain software developer	Canada	2.2
Nemetschek Engineering software developer	Germany	1.2
NICE Enterprise software developer	Israel	1.7
Rakus IT employment and cloud services	Japan	1.1
Reply IT consultant	Italy	1.6
Shift Software assurance provider	Japan	1.0
Silergy Electronics chips manufacturer	Taiwan	1.9
TeamViewer Remote connectivity software developer	Germany	0.6
Temenos Group Banking software developer	Switzerland	0.4
Vaisala Atmospheric measuring devices manufacturer	Finland	1.9

Materials	Market	End Wt. (%)
Croda Specialty chemical manufacturer	UK	1.3
Fuchs Petrolub Lubricants manufacturer	Germany	1.8
Hexpol Rubber manufacturer	Sweden	0.8
Hoa Phat Group Steel producer	Vietnam	1.8
JCU Industrial coating manufacturer	Japan	0.4
Real Estate		
No Holdings		
Utilities		
Rubis Liquid chemical storage and distribution	France	2.7
Cash		2.6

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Portfolio Facts

Portfolio Characteristics

Quality and Growth	HL	Index
Profit Margin[1] (%)	10.6	8.2
Return on Assets[1] (%)	9.0	5.2
Return on Equity[1] (%)	16.1	10.1
Debt/Equity Ratio[1] (%)	23.6	45.0
Std. Dev. of 5 Year ROE[1] (%)	3.5	5.1
Sales Growth[1,2] (%)	10.6	7.2
Earnings Growth[1,2] (%)	13.9	12.3
Cash Flow Growth[1,2] (%)	8.5	7.0
Dividend Growth[1,2] (%)	10.0	6.9
Size and Turnover	**HL**	**Index**
Wtd. Median Mkt. Cap. (US $B)	4.2	3.5
Wtd. Avg. Mkt. Cap. (US $B)	5.4	4.1
Turnover[3] (Annual %)	22.4	–

Risk and Valuation	HL	Index
Alpha[2] (%)	-4.83	–
Beta[2]	0.93	–
R-Squared[2]	0.87	–
Active Share[3] (%)	98	–
Standard Deviation[2] (%)	16.43	16.43
Sharpe Ratio[2]	-0.14	0.21
Tracking Error[2] (%)	5.9	–
Information Ratio[2]	-0.96	–
Up/Down Capture[2]	84/107	–
Price/Earnings[4]	18.8	15.4
Price/Cash Flow[4]	12.9	9.1
Price/Book[4]	2.8	1.6
Dividend Yield[5] (%)	2.1	2.6

[1]Weighted median. [2]Trailing five years, annualized. [3]Five-year average. [4]Weighted harmonic mean. [5]Weighted mean. Source: (Risk characteristics) Harding Loevner International Small Companies Equity composite based on the composite returns, gross of fees, eVestment Alliance LLC, MSCI Inc. Source: (other characteristics) Harding Loevner International Small Companies Equity model based on the underlying holdings, FactSet (Run Date: October 5, 2026) based on the latest available data in FactSet on this date), MSCI Inc.

Completed Portfolio Transactions

Holdings Established	Market	Sector
Alten	France	INFT
Clicks Group	South Africa	STPL
Curves	Japan	DSCR
Equity Group	Kenya	FINA
Hongfa	China	INDU
Mader	Australia	INDU
Milbon	Japan	STPL
Sanrio	Japan	DSCR
Shuanghuan Driveline	China	DSCR

Holdings Sold	Market	Sector
Ariake	Japan	STPL
Artea Bankas	Lithuania	FINA
Rathbones	UK	FINA
Romgaz	Romania	ENER
SH Kelkar	India	MATS
Solasto	Japan	HLTH
Square Pharmaceuticals	Bangladesh	HLTH
Sysmex	Japan	HLTH
Wilcon Depot	Philippines	DSCR
Yantai China Pet Foods	China	STPL

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Composite Performance

as of September 30, 2026

	HL ISC Gross (%)	HL ISC Net (%)	MSCI ACWI ex US Small Cap[1] (%)	HL ISC 3-yr. Std. Deviation[2] (%)	MSCI ACWI ex US Small Cap 3-yr. Std. Deviation[2] (%)	Internal Dispersion[3] (%)	No. of Accounts	Composite Assets ($M)	Firm Assets ($M)
2026 YTD[4]	10.05	9.34	11.78	14.76	14.78	N.A.	1	171	28,192
2025	16.12	15.06	29.88	14.24	12.09	N.M.	1	244	32,260
2024	-5.26	-6.16	3.85	17.84	16.81	N.M.	1	411	35,471
2023	13.91	12.83	16.23	18.05	16.98	N.M.	1	537	43,924
2022	-23.74	-24.46	-19.57	21.96	22.72	N.M.	1	523	47,607
2021	14.71	13.60	13.36	18.81	19.85	N.M.	1	594	75,084
2020	20.14	18.81	14.67	19.78	20.97	N.M.	1	454	74,496
2019	31.30	29.83	22.93	12.36	11.60	N.M.	1	350	64,306
2018	-16.39	-17.34	-17.89	12.47	12.36	N.M.	1	165	49,892
2017	37.61	36.34	32.12	10.76	11.54	N.M.	3	323	54,003
2016	0.79	-0.22	4.29	10.78	12.15	N.M.	2	154	38,996

[1]Benchmark index. [2]Variability of the composite, gross of fees, and the index returns over the preceding 36-month period, annualized. [3]Asset-weighted standard deviation (gross of fees). [4]The 2026 YTD performance returns and assets shown are preliminary. N.A.–Internal dispersion less than a 12-month period. N.M.–Information is not statistically significant due to an insufficient number of portfolios in the composite for the entire year.

The International Small Companies Equity composite contains fully discretionary, fee-paying accounts investing primarily in non-US equity and equity-equivalent securities of companies with market capitalizations that fall within the range of the composite's benchmark index and cash reserves. For comparison purposes, the composite is measured against the MSCI All Country World ex US Small Cap Total Return Index (Gross). Returns include the effect of foreign currency exchange rates. The exchange rate source of the benchmark is Reuters. The exchange rate source of the composite is Bloomberg. Additional information about the benchmark, including the percentage of composite assets invested in countries or regions not included in the benchmark, is available upon request.

The MSCI All Country World ex US Small Cap Index is a free float-adjusted market capitalization index that is designed to measure small cap developed and emerging market equity performance, excluding the US. The index consists of 46 developed and emerging market countries, and is comprised of companies that fall within a market capitalization range of USD 61-27,203 million (as of September 30, 2026). You cannot invest directly in this index.

Harding Loevner LP claims compliance with the Global Investment Performance Standards (GIPS®) and has prepared and presented this report in compliance with the GIPS standards. Harding Loevner has been independently verified for the period November 1, 1989 through June 30, 2026.

A firm that claims compliance with the GIPS standards must establish policies and procedures for complying with all the applicable requirements of the GIPS standards. Verification provides assurance on whether the firm's policies and procedures related to composite and pooled fund maintenance, as well as the calculation, presentation, and distribution of performance, have been designed in compliance with the GIPS standards and have been implemented on a firm-wide basis. The International Small Companies Equity composite has had a performance examination for the periods January 1, 2007 through June 30, 2026. The verification and performance examination report is available upon request. GIPS® is a registered trademark of CFA Institute. CFA Institute does not endorse or promote this organization, nor does it warrant the accuracy or quality of the content contained herein.

Harding Loevner LP is an investment adviser registered with the Securities and Exchange Commission. Harding Loevner is an affiliate of AMG (NYSE: AMG), an investment holding company with stakes in a diverse group of boutique firms. A list of composite descriptions, a list of limited distribution pooled fund descriptions, and a list of broad distribution pooled funds are available upon request.

Results are based on fully discretionary accounts under management, including those accounts no longer with the firm. Composite performance is presented gross of withholding taxes on dividends, interest income and capital gains for certain portfolios within the composite and net of withholding for others. Additional information is available upon request. Past performance does not guarantee future results. Policies for valuing investments, calculating performance, and preparing GIPS Reports are available upon request.

The US dollar is the currency used to express performance. Returns are presented both gross and net of management fees and include the reinvestment of all income. Net returns are calculated using actual fees. Actual returns will be reduced by investment advisory fees and other expenses that may be incurred in the management of the account. The standard fee schedule generally applied to separate International Small Companies accounts is 1.00% annually of the market for the first $20 million; 0.80% for the next $80 million; 0.70% above $100 million. Actual investment advisory fees incurred by clients may vary. The annual composite dispersion presented is an asset-weighted standard deviation calculated for the accounts in the composite the entire year.

The International Small Companies Equity composite was created on December 31, 2006 and the performance inception date is January 1, 2007.

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